

# Introduction to Business

Entrepreneurship

# Module Learning Outcomes

Discuss the role of entrepreneurship in small business

- 8.1: Discuss the contributions of small business to the U.S. economy
- 8.2: Identify the common traits of successful entrepreneurs
- 8.3: Discuss the advantages, disadvantages, and important considerations of starting a small business
- 8.4: Describe the steps to starting a business
- 8.5: List and describe the key components of a business plan

# Small Businesses

# Learning Outcomes: Small Businesses

8.1: Discuss the contribution of small business to the U.S. economy

- 8.1.1: Define small business
- 8.1.2: Discuss the contributions of small businesses to the U.S. economy

# Understanding Small Businesses

- The U.S. Small Business Association, referred to as the "SBA," is the go-to source for all things small business, including the statutory definition of small business
- Classification as a small business is determined by size standards, either number of employees or revenue – based on industry – determined by the 6 Digit NAICS (North American Industry Classification System) code
- SBA membership can affect financing including access to loans, investment capital and grants, and preferential access to government contracts



# Eligibility Criteria for SBA and Government Contracting Programs

To be part of the SBA and other government contracting programs, businesses must be:

- A for-profit enterprise
- Independently owned & operated
- Physically located & operating in the United States and its territories
- Not in a dominant market position nationally

# Contributions of Small Businesses in the U.S. Economy

- 99.9% of all businesses in the U.S. are small businesses
- Small businesses are crucial to the U.S. economy. They are responsible for roughly half of new job creation and economic activity as measured by GDP
- Small businesses employ 47.5% of all U.S. employees
- Small businesses are not only economic engines, they represent a source of innovation

# Entrepreneurs

# Learning Outcomes: Entrepreneurs

8.2: Identify the common traits of successful entrepreneurs

- 8.2.1: Define entrepreneur
- 8.2.2: Identify the common traits of successful entrepreneurs
- 8.2.3: Discuss the different types of people who become entrepreneurs
- 8.2.4: List common reasons for choosing to be an entrepreneur

# What is an Entrepreneur?

- Merriam-Webster defines an entrepreneur as "one who organizes, manages, and assumes the risks of a business or enterprise."
- An entrepreneur is someone who:
  - Sees an opportunity – some hole in the market, or some way to better provide a current service and
  - Works effectively to create a solution, carefully designing how the solution will be made and distributed
- "A lot of people have ideas, but there are few who decide to do something about them now. Not tomorrow. Not next week. But today. The true entrepreneur is a doer, not a dreamer" – Nolan Bushnell - Atari and Chuck E. Cheese Founder

# Common Traits of Entrepreneurs

1. Ideas & Drive
2. People Skills
3. Work Style
4. Financial Savvy
5. Entrepreneurial Background

# Types of Entrepreneurs

"Entrepreneurial DNA" author Joe Abraham realized that although entrepreneurs share common traits, they have distinctly different personalities and to be successful, the strategy has to match the person.

Joe Abraham's Four Entrepreneurial DNA types:

- **Builder**: focused on scaling a business quickly. They measure success in infrastructure terms – office square footage, size of payroll, etc.
- **Opportunist**: measures success in financial terms and is always scanning for the next money-making opportunity.
- **Specialist**: experts who generally spend their careers in one industry. They measure success based on their personal income.
- **Innovator**: the mad scientists of the world, they measure success based on mission, not money.

# Reasons to Be an Entrepreneur

1. Opportunity to make an impact
2. Ability to live by your own rules, from values and culture to dress code, work environment and location
3. Membership in an elite group of leaders and doers
4. No bench time or waiting to be chosen
5. Opportunity based on performance rather than degrees
6. Relative freedom from discrimination
7. The thrill of creation and the ongoing challenges of growth

# More Reasons to Be an Entrepreneur

8. Unlimited upside (financial) potential; no growth ceilings

9. Extreme learning and personal growth

10. Working with stimulating people and emerging ideas/technologies

11. Recognition – After all, entrepreneurs are the rock stars of the business world

12. Build something for future generations

13. Defining “success” on your own terms

# Class Discussion: Small Business and You

Think of your personal interests and the business environment in your community.

- If you were to plan a small business based on your personal interests, what business would you start?
- If you were to plan a small business based on the business environment in your community, what business would you start?
- How would you reconcile your personal interests and the business environment in your community to found a small business?

# Practice Question 1

Given the multiple definitions in this section, what is the most important common quality that captures the essence of “entrepreneur”?

A. Bias for action

B. Promise of opportunity

C. Creator of ideas

D. Viewer through a different lens



# Practice Question 2

According to the author, what would be the most important reason to be an entrepreneur?

A. To be among the elite.
B. To be compensated well above the norm.
C. To be idolized.
D. To be your own boss.



# Advantages, Disadvantages, and Considerations

# Learning Outcomes: Advantages, Disadvantages, and Considerations

8.3: Discuss the advantages, disadvantages, and important considerations of starting a small business

- 8.3.1: Describe the advantages and disadvantages of starting a small business
- 8.3.2: Explain why some business ventures fail
- 8.3.3: List important considerations in deciding to start a business

# Advantages of Small-Business Ownership

- Starting a small business is a matter of self-selection and self-determination
- A small business owner has an extreme amount of latitude in both business and lifestyle choices
- The benefits – measured in impact, revenue, and infrastructure – are essentially unlimited
- Freedom to choose your business's purpose and goals

# Disadvantages of Small-Business Ownership

- You must take responsibility for the decisions you make and the results of those decisions
- Evasion is not an option: you can't say, "it's not my job," point fingers, shrug or check out
- As a small business owner, you will probably be risking your own (and, perhaps, friends & family) capital
- There's no guarantee of a regular paycheck and no paid or subsidized benefits
- Freedom from an employer's expectations comes at a cost: you're responsible for setting and managing expectations
- You're responsible for business development, business planning, HR, IT, and every other function as well.

# Why Some Ventures Fail

- Inability to execute on the business concept
- Lack of or insufficient market demand
- Lack of product or service (competitive) differentiation & other marketing issues (the four Ps of marketing)
- Lack of awareness of and/or ability to respond to emerging trends, relevant developments (technology, regulatory, geo-political, environmental) and competitive actions
- Over-dependence on a single customer
- Inability to manage growth

# More Reasons Why Some Ventures Fail

- Inadequate cash reserves or failure to effectively manage cash flows. Related point: inadequate cash controls or personal/business separation, including using business revenue as a personal slush fund
- Insufficient management experience or product/services expertise
- Lack of self-awareness and related personal/professional development
- An inability to acknowledge weaknesses and/or compensate for skill and expertise gaps

# Considerations When Starting a Business

1. Do you have what it takes?
   - What have you started?
   - How would you describe yourself in your own words?
   - How would a colleague describe you in three adjectives?
   - What current trends are you seeing in your profession? (Substitute your target industry/market for your profession)
   - What new things have you tried recently?
2. Do you have a viable concept?
   - Before you dive into a business, it's essential to do careful planning to ensure that the venture has potential to succeed.
3. Is the reason you want to start a business consistent with your character and concept?
   - Do a reality check on why you want to start a business

# Class Discussion: Fyre Festival

Discuss some potential reasons why the Fyre Festival venture of 2017 failed using concepts discussed in this module.



# Practice Question 3

According to the author, the underlying advantage to starting a small business is the freedom to make your own decisions regarding what the business is and what it does. But on the other side of the coin, the author reminds us that there is a price to pay – what is the price for the freedom from an employer's expectation?

A. The founder owns all of the responsibility for expectations and results.

B. The founder is responsible for selecting employees.

C. The founder must maintain accurate records.

D. The founder sets the hours of operation for the business.

# Practice Question 4

What are the underlying factors of the causes for small business failure?

A. Failure to do the research, analysis, and final projections and the founder's attitude and self-awareness

B. Failure to attract the right business partner

C. Economic recession

D. Government regulations



# Steps to Starting a Business

# Learning Outcomes: Steps to Starting a Small Business

8.4: Describe the steps to starting a small business

- 8.4.1: List the steps to starting a small business
- 8.4.2: Briefly describe the steps to starting a small business

# Ten Steps to Starting a Business (1–3)

1. **Conduct market research.** The key insight is that doing research first allows you to test drive and fine tune
2. **Write your business plan.** Your business plan distills your research and analysis into an actionable plan
3. **Fund your business.** Businesses start-up costs (developed in the business plan) and choice of funding have implications for the business structure and business ownership/management







# Ten Steps to Starting a Business (4–6)

4. **Pick Your Business Location.** Selecting a business location depends on a range of factors (proximity to target market, business partners, etc.)
5. **Choose a Business Structure.** Some business structures are sole proprietorship, partnerships, LLCs, etc.
6. **Choose Your Business Name.** Choosing a business name is an opportunity to communicate not only what you do but who you are: the personality and your unique value proposition







# Ten Steps to Starting a Business (7–8)

7. **Register Your Business**
   - Entity name protects you a state level
   - Trademark protects you at a federal level
   - Domain name protects your business website address
8. **Obtain Federal and State Tax IDs.** In addition to paying federal taxes, you will need an EIN to hire employees, open a business bank account and apply for business licenses and permits







# Ten Steps to Starting a Business (9–10)

9. **Apply for state licenses and permits**

10. **Open a Business Bank Account**
    - If you created an LLC or a corporation to protect your personal assets, commingling business and transactions undermines that protection.
    - If combining business and personal transactions will make it much more difficult to do essential financial management tasks.







# Some Relevant Factors in Choosing a Business Structure

| Business Structure | Ownership | Liability | Taxes |
|---|---|---|---|
| Sole Proprietorship | One person | Unlimited personal liability | Personal tax only |
| Partnerships | Two or more people | Unlimited personal liability unless structured as a limited partnership | Self-employment tax (except for limited partners)<br><br>Personal Tax |
| Limited Liability Corporation (LLC) | One or more people | Owners are not personally liable | Self-employment tax<br><br>Personal tax or corporate tax |
| Corporation - C Corp | One or more people | Owners are not personally liable | Corporate tax |
| Corporation - S Corp | One or more people, but no more than 100, and all must be U.S. Citizens | Owners are not personally liable | Personal tax |
| Corporation - B Corp | One or more people | Owners are not personally liable | Corporate tax |
| Corporation - Nonprofit | One or more people | Owners are not personally liable | Tax-exempt, but corporate profits can be distributed |

# Business Plans

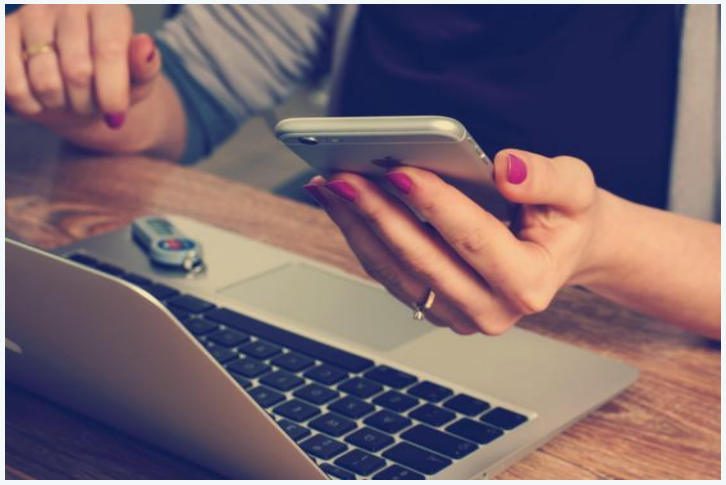
# Learning Outcomes: Business Plans

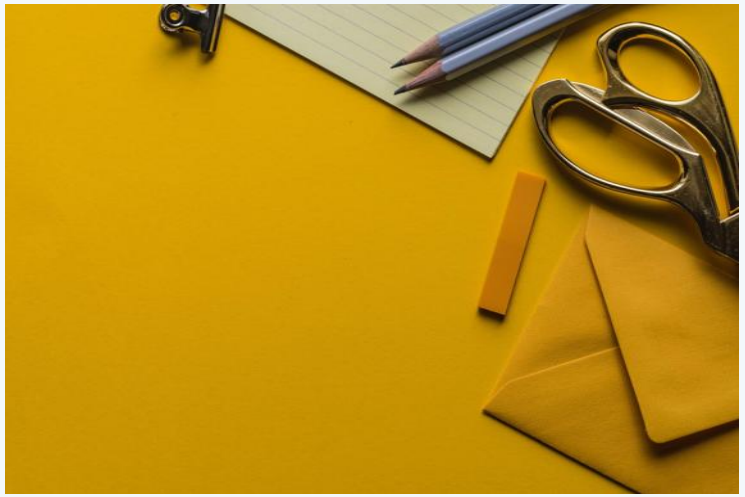
8.5: List and describe the key components of a business plan

- 8.5.1: List the components of a business plan
- 8.5.2: Briefly describe the components of a business plan

# Create Your Business Plan: Executive Summary and Company Description

- **Executive Summary**
  - Elements to include: mission statement, management and organizational structure highlights, intended location and scale of operation
- **Company Description**
  - provide a more detailed description of your company, including the opportunity and your solution

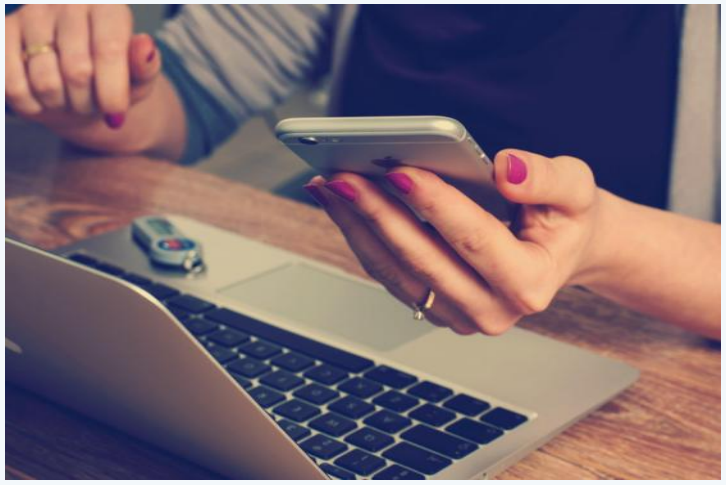


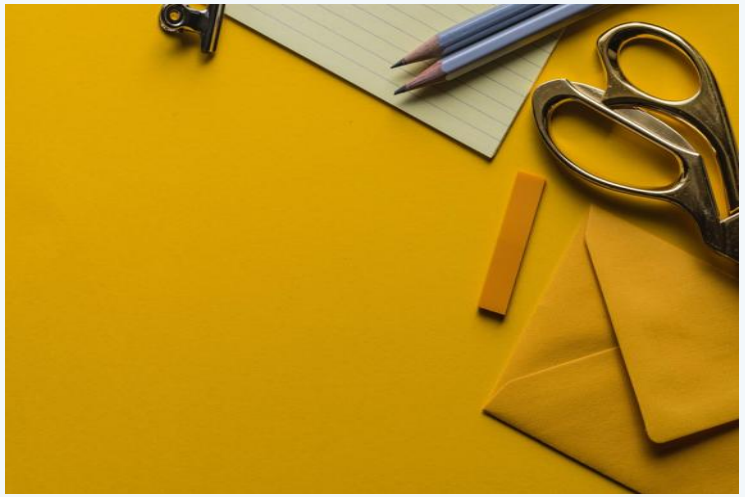




# Create Your Business Plan: Market Analysis and Organization & Management

- **Market Analysis**
  - summarize your understanding of the economy, industry, your target market and related trends and developments
- **Organization & Management**
  - Describe your legal structure and introduce yourself and management

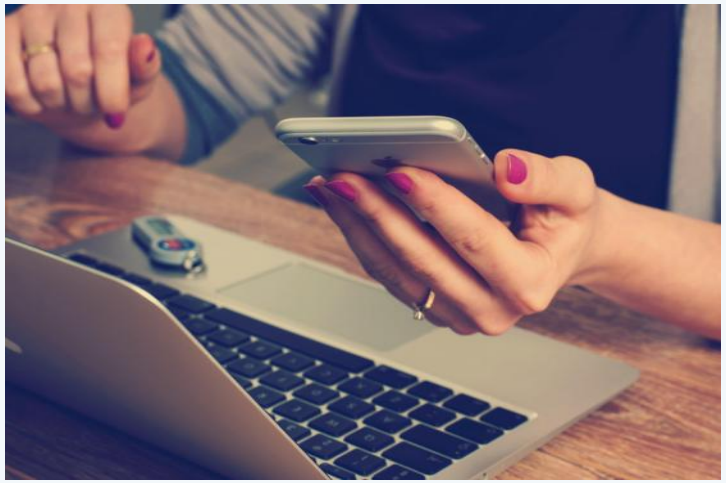


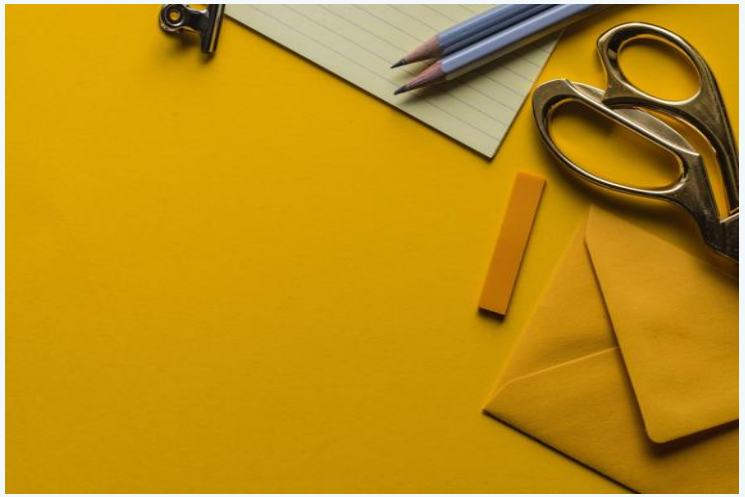




# Create Your Business Plan: Service or Product Line and Funding Request

- **Service or Product Line**
  - detail your offerings and any market differentiators such as copyrights or patents
- **Marketing & Sales**
  - describe your plan to bring your product or service to market
- **Funding Request (if applicable)**
  - detail your funding requirements and the intended use of those funds over the next five years

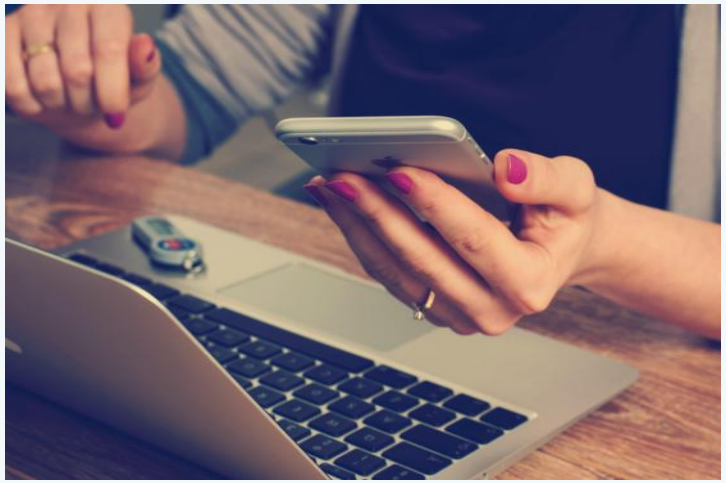


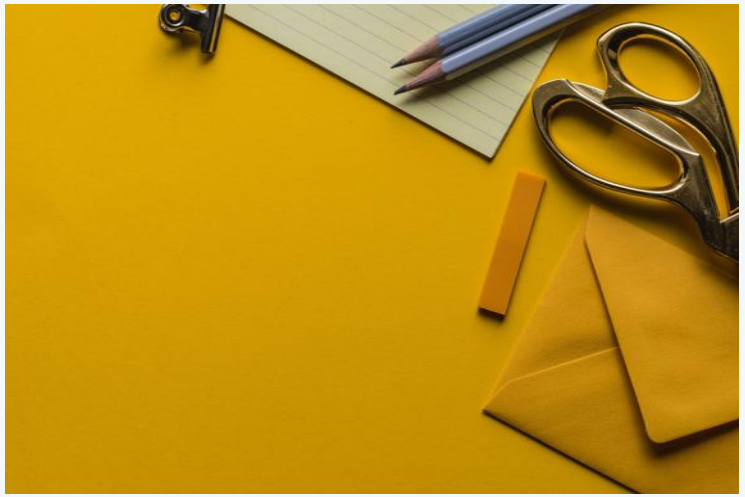




# Create Your Business Plan: Financial Projections and Appendix

- **Financial Projections**
  - Projections should cover a five-year period
  - Include a financial outlook summary as well as forecasted income statements, balance sheets, cash flow statements and capital expenditure budgets
- **Appendix**
  - Used to provide supporting detail and provide any other relevant or requested documentation







# Quick Review

- Define small business
- Discuss the contributions of small businesses to the U.S. economy
- Define entrepreneur
- Identify the common traits of successful entrepreneurs
- Discuss the different types of people who become entrepreneurs
- List common reasons for choosing to be an entrepreneur
- Describe the advantages and disadvantages of starting a small business
- Explain why some business ventures fail
- List important considerations in deciding to start a business

# More Quick Review

- List the steps to starting a business
- Briefly describe the steps to starting a business
- List the components of a business plan
- Briefly describe the components of a business plan